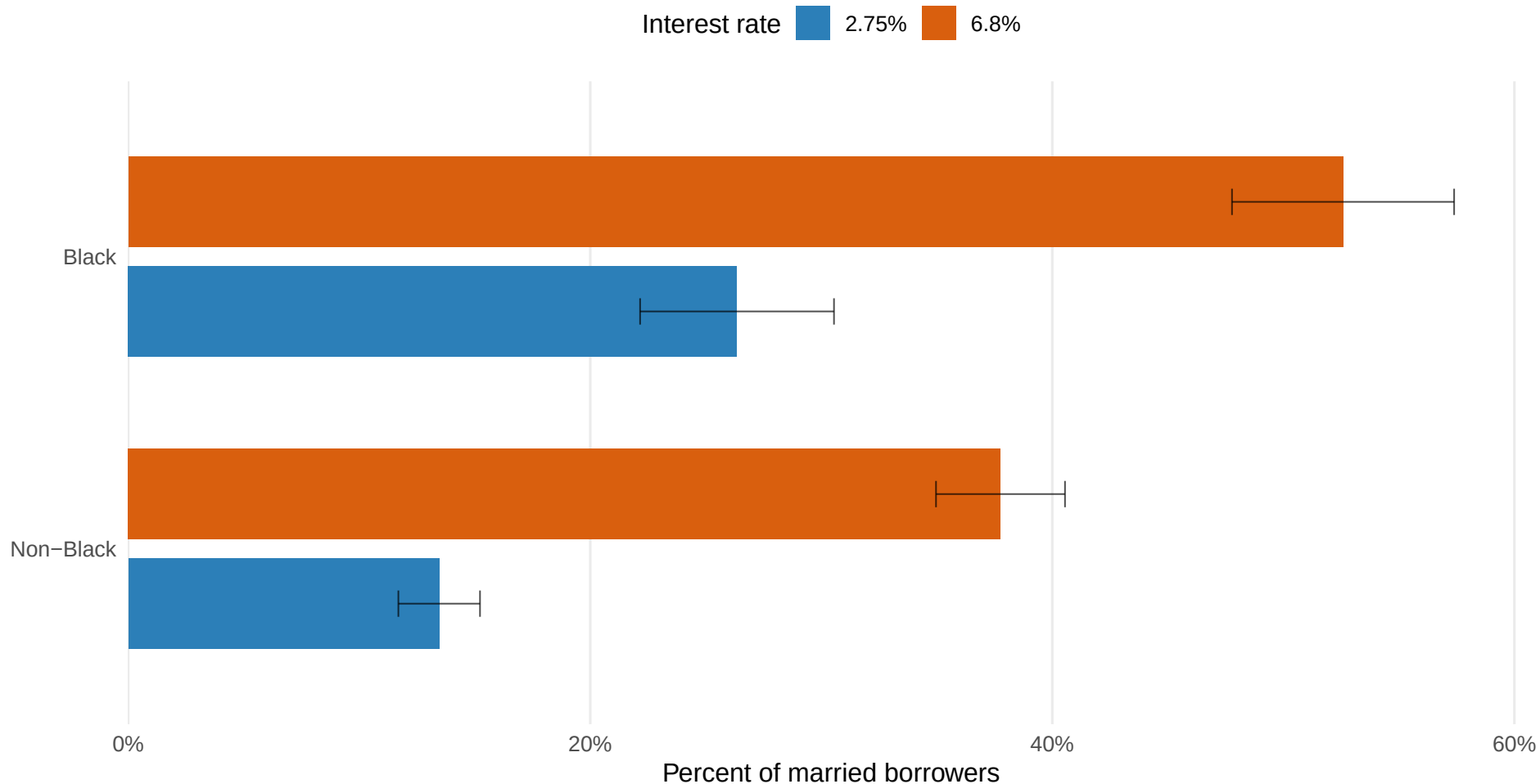


Figure 8: The \$2,500 Cap Binds Differently for Black and Non-Black Married Borrowers

Percent of married borrowers at the current \$2,500 allowable-deduction limit by Black/Non-Black group.



Author's analysis of 2022 Survey of Consumer Finances data.

Raising the married-household deduction cap from \$2,500 to \$5,000 changes the modeled deduction while keeping the nonmarried cap at \$2,500 and leaving the income and MAGI rules unchanged.

Population: households with positive student debt that pass the income screens used in the analysis.

Only married households are shown in the married-cap figures because nonmarried households have no policy change.

The 2.75% and 6.8% rates are the minimum and maximum undergraduate federal loan rates from 2000 to 2025; because borrower-specific loan terms are not observed, they show a plausible range of impacts.